

INDIAN ECONOMY

LEVEL
II



LECTURES

PHARMACEUTICALS AND
TEXTILES ON THE
EXPORTS FRONT

MODULE - 38



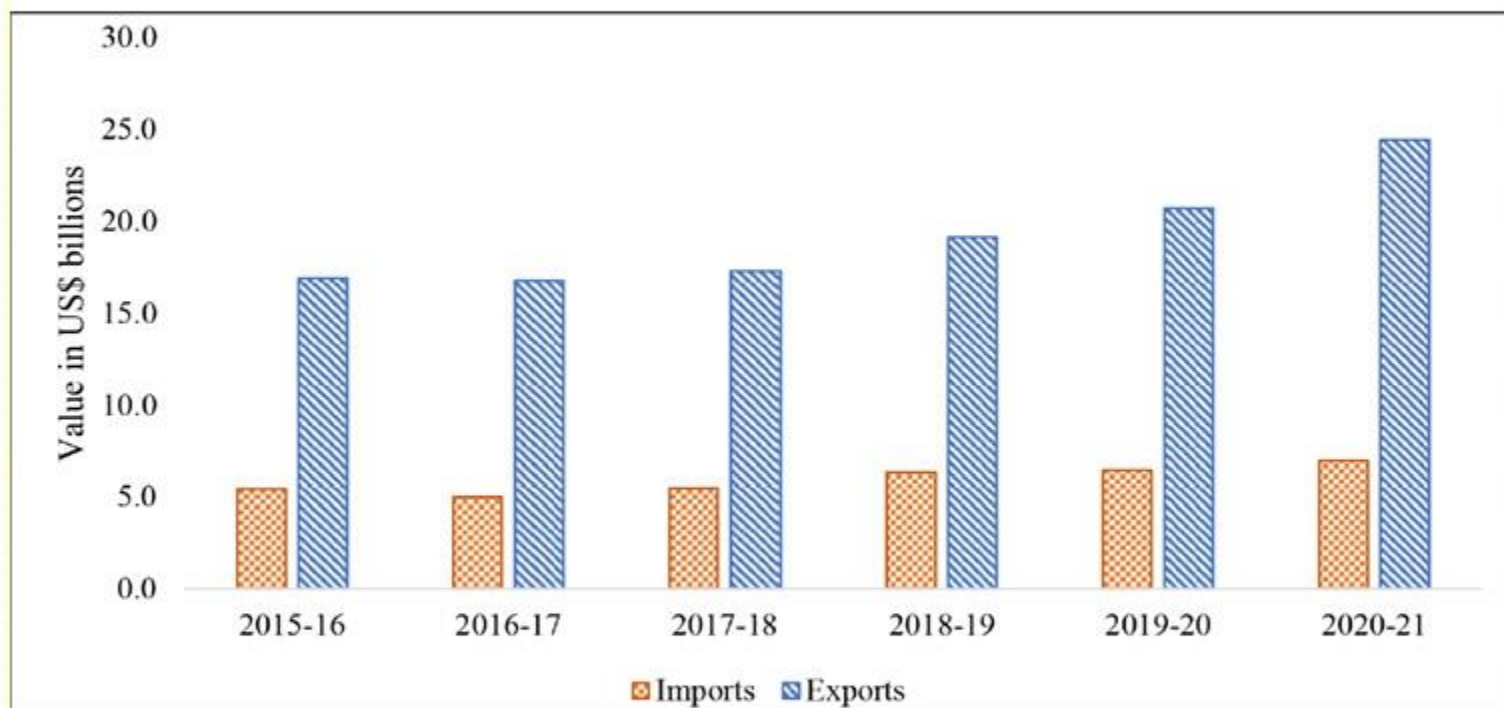
A GLANCE AT THE INDIAN PHARMACEUTICAL INDUSTRY



- Indian Pharmaceutical industry ranks third in the world in pharmaceutical production by volume.
- Annually, total pharma exports hovers around \$25 billion, against the total pharma imports of around \$7-8 billion, thereby generating trade surplus of around \$17-18 billion.
- India is the largest supplier of generic medicines with a 20% share in the global supply.
- Price competitiveness and good quality has enabled Indian medicines producers to be the dominant players in the world market, thereby making the country the “Pharmacy of the World”.
- There is also a sudden spurt in FDI in 2020-21, showing a 200 percent increase in comparison to the previous year.

TREND OF EXPORTS AND IMPORTS IN PHARMACEUTICAL SECTOR

Figure 21: Trade of Pharmaceutical industry



Source: Survey calculations based on data from D/o Commerce. Data includes trade in Aayush and herbal products; bulk drugs, drug intermediates; drug formulations, biological; surgicals.

OUR DEPENDENCE ON BULK DRUGS/APIs IS THE REAL CAUSE OF CONCERN!

- The country is significantly dependent on the import of bulk drugs that are used in the formulation of medicines.
- In certain cases, import dependence varies between 80-100 percent.
- High Level Committee examined this issue and a composite set of actions have been initiated, which include bulk drug parks.

VARIOUS MEASURES TAKEN BY THE GOVERNMENT TO REDUCE IMPORT DEPENDENCE ON APIs/BULK DRUGS

- To reduce the dependence on foreign countries, the Scheme for Promotion of Bulk Drug Parks envisages creation of world class infrastructure facilities, in order to make Indian bulk drug industry a global leader.
- Easy access to world class common infrastructure facilities has the potential to increase the competitiveness of the domestic bulk drug industry.
- Production Linked Incentive (PLI) scheme for Bulk drugs has been approved for promotion of domestic manufacturing of 53 critical APIs.

- Another PLI scheme has been approved for biopharmaceuticals API/KSM/drug intermediates, and drugs not covered under Category 1 and Category 2 of pharmaceutical goods.
- PLI for promoting Domestic Manufacturing of Medical Devices has also been approved.



A GLANCE AT THE TEXTILES/APPARELS EXPORTS!



TEXTILE SECTOR IS THE SECOND LARGEST EMPLOYMENT GENERATOR!

- It is the second largest employment generator in the country, next only to agriculture.
- It provides direct and indirect employment to about 105 million people, a major part of which are women.

TEXTILE A cloth made by hand or machine

- Textile and apparel exports rose to their highest level in FY22, reaching \$ 44.4 billion and growing 41% over FY21 and 26% over FY20.
- Exports have increased 13.9% since FY16. In FY22, the US was the top export destination, accounting for 27% of textile/apparel exports, followed by the EU (18%) and Bangladesh (12%).
- India is steadily losing ground to smaller countries like Vietnam and Bangladesh.

APPAREL Clothes of a particular type, when they are being sold in a shop.

WHAT ARE THE PRIMARY REASONS FOR THE HEADWINDS IN THE TEXTILE SECTOR?

1

WEAK IN SYNTHETICS



SYNTHETIC PRODUCTS

Synthetic products are made from artificial substances, often copying a natural product. These include nylon, polyester, polyvinyl chloride (PVC) and rayon.

- Today, most formal, sports and fashion wear uses synthetic fabrics.
- They are durable and do not fade and can have any colour.
- Easy blending is possible with wool, cotton or rubber.
- Synthetics have overtaken cotton and become favourite of the fashion industry.
- As India is weak in synthetics, the results are clearly evident - low exports, low wages, low investments in the sector.

WHAT ARE THE PRIMARY REASONS FOR THE HEADWINDS IN THE TEXTILE SECTOR?

1

MORE ABOUT SYNTHETICS!

1 Synthetics and blends dominate autumn and winter seasons.

2 Globally, cotton dominates spring and summer sale seasons.

3 Indian units run six months a year to produce cotton apparels.

4 In the remaining six months, most units are shut or run at a low capacity, as they do not have orders for synthetics/winter wear.

5 Winter wears are more expensive than informal cotton wear.

6

Entry into synthetics would make factories run full year and increase wages substantially.



WHAT ARE THE PRIMARY REASONS FOR THE HEADWINDS IN THE TEXTILE SECTOR?

2 LOW PREPAREDNESS OF INDIAN EXPORTERS

1 Indian exporters are not that prepared to meet the demands of the Fast Fashion Industry (FFI).

2 Fast Fashion Industry players are the low-cost retailers like Walmart, high fashion brands like Zara, H&M and online-only retailers like Amazon, Zalando etc.

3 They conjure new fashion trends and convert designs into affordable clothing within a few weeks.

4 Any delay means a change in fashion and the product ending into surplus.

5 This forces FFI to place orders only with firms, that deliver fast and are compliant with labour and other rules.

Walmart   zalando

ZARA
amazon 

H&M

WHAT ARE THE PRIMARY REASONS FOR THE HEADWINDS IN THE TEXTILE SECTOR?

3 ASPECT OF COSTS

- 1 Cost is an important issue. One metric used by FFI for making payments to apparel manufacturers is Standard Allowed Minute (SAM).
- 2 It measures the time taken in making a garment.
- 3 FFI firms compare SAM across manufacturers and countries, while placing orders.
- 4 Skilled labour and the latest technology are a must to ensure a good SAM.
- 5 80% of Indian exporters do not meet SAM or other requirements.





WHAT ABOUT THE GOVERNMENT EFFORTS IN RECENT TIMES?

- Production-Linked Incentive (PLI) Scheme for Man Made Fiber (MMF) segment and technical textiles was notified in September 2021, for enhancing India's manufacturing capabilities and exports.
- The Government notified the setting up of 7 PM Mega Integrated Textiles Region and Apparel Parks (MITRA) in October 2021 with a total outlay of Rs. 4,445 crores. PM MITRA inspired from 5Fs - farm to fibre; fibre to factory; factory to fashion; fashion to foreign!

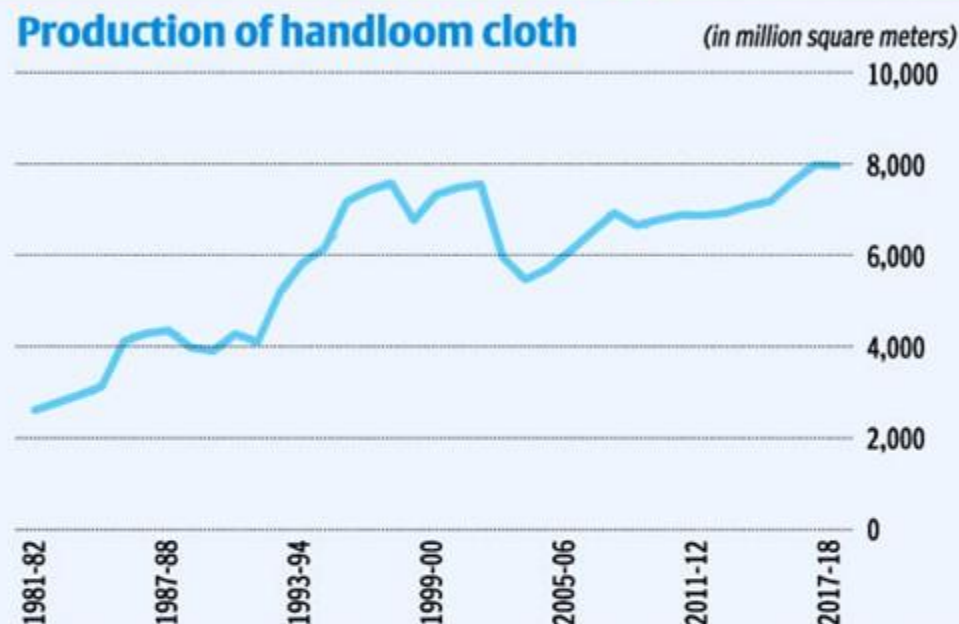
NOW, LET US LOOK AT THE HANDLOOM SECTOR IN INDIA!



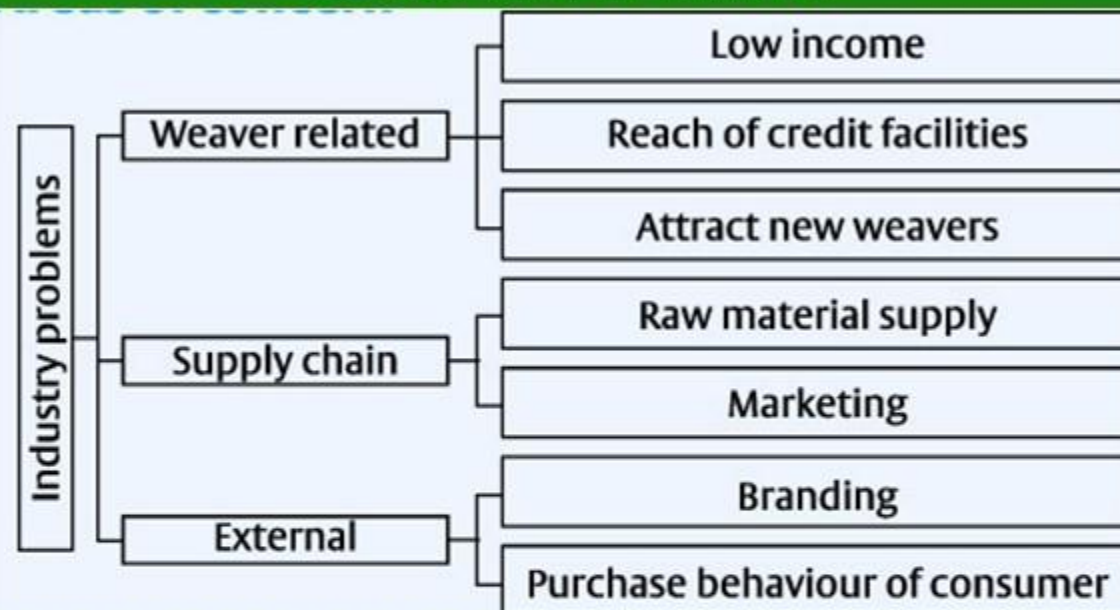
A BRIEF ON HANDLOOM SECTOR

- As per the latest available Handloom Census, 2019-20, the overall number of weavers decreased by 19% from around 43 lakh in 2009-10 to 35 lakh in 2019-20.
- It is incidental to note that handlooms in India have a rich cultural heritage, and are renowned the World over, for their craftsmanship since ancient times.
- However, the cultural significance of handlooms has been on the wane in recent times.

PRODUCTION DURING THE DECADE INCREASED ...



... HOWEVER, SEVERAL AREAS OF CONCERN REMAIN!



MULTITUDE OF PROBLEMS

- 67% of the weavers in this sector earned less than even unskilled labour.
- Export market is concentrated only around products like Carpets, Rugs and other furnishings.
- Moreover, export markets across most of these product categories have been stagnant over the last few years.

I

WEAVER RELATED PROBLEMS

1 LOW INCOME

- As per Minimum Wage Rule, worker is supposed to earn a minimum amount of Rs. 6,275 per month.
- But, around 27 lakh weavers, i.e., 67% are earning less than Rs. 5,000 per month.
- Hence, it is not a sustainable economic activity.

2 LOW REACH OF CREDIT FACILITIES

- 87% of the weavers are concentrated in the rural areas with banking penetration of just 20%.
- For India as a whole, banking penetration is at around 23%. Hence, 77% of weavers do not have access to institutional credit.

3 UNABLE TO ATTRACT NEW WEAVERS

- As an age old tradition, the art of handloom is passed on from generation to the next by the weavers. Now, weavers are hesitant to encourage the next generation.
- It is clearly evident, in the fall of number of weavers less than 35 years of age - from around 26 lakh in 2009-10 to around 16 lakh in 2019-20.



II SUPPLY CHAIN RELATED PROBLEMS

1 RAW MATERIAL

- As per 2019-20 Census, around 76% of yarn is purchased by weavers as raw material in the open market, and the rest from the cooperative societies and Government.
- As most of the yarn is purchased in the open market, they end up with low margins, and are unable to earn higher profits.



2 MARKETING

- Industry is unable to adopt marketing techniques. 64% of the open market sales happens in the local markets.
- They are unable to utilize e-Commerce as an effective channel, as the digital literacy amongst the weavers is low.
- Several channels which promote handlooms are either generic market places or websites exclusive to handlooms, but confined to products of a specific region.

III

EXTERNAL FACTORS

1

BRANDING

- Branding has a huge impact on the purchase behaviour of the consumers.
- Many private brands like Fab India and Raymond Khadi are selling handloom products. Branding resulted in the prices of some of the products going up.
- This however, does not benefit the weaver due to the presence of middle men.
- Moreover, the creation of individual brands by external players hides the weavers identity and place of origin. This proves detrimental to the craftsman.

2

PURCHASE BEHAVIOUR

- This is changing with many preferring to shop online rather offline.
- As weavers cannot reach the online consumers directly, many of them do not know the exact demand for their products, and are unable to get good margins.



WHAT ARE THE SUGGESTIONS TO PUT HANDLOOM SECTOR BACK ON TRACK?

5 A group of designers can be hired to understand the fashion trends of the West, and guide the weaver community.

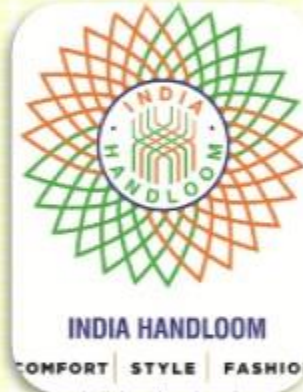


1 Leveraging e-Commerce can bridge the gap between consumers and the weavers.

2 The e-Commerce platforms can also help in increasing the foreign sales of Indian handloom products.

3 An exclusive e-Commerce website, with relevant logistics support, needs to be created to sell authentic Indian handloom products. It increases visibility and reach of Indian handlooms

LEVERAGE
TECHNOLOGY AND
EMBRACE DIGITAL
PLATFORMS



4 Handloom products should be tailored as per the needs of the foreign markets.

It is high time that the handloom industry leveraged technology and digital platforms to become sustainable!

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299